no commercial one, the private sector will likely not provide any funds, and official aid will be necessary.

DIFFERENT SITUATIONS, DIFFERENT APPROACHES

Let us then summarize where logic leads us. If a poor country has no access to private markets, and the investment climate is bleak, financial distress or debt overhang are unlikely to result from high debt. A focus on debt forgiveness – as opposed to the net incremental resources available in the short run (that is, additionality) – is misplaced. Debt forgiveness makes sense if it generates more resources from the private sector, but the country authorities must have the incentive to use resources well and the private sector to lend responsibly. Interestingly, this means that depending on the country's situation, the status quo, as well as any one of the three proposals I outlined, could be the best approach for the country.

If the country's government is thoroughly corrupt, then the status quo – no forgiveness and no additional aid – is best, for it gives the government no official resources to misuse and limits its ability to raise private sector funds. Aid in this case should be distributed directly to nongovernmental organizations. If the country has a reasonably committed government, look at the country's primary need. When social sector projects top the list, then what matters is the extent of official sector net funding. Here, the first alternative – debt is not forgiven but official creditors lend more – is best. But if most projects are commercially viable, the second alternative – some relief but leaving enough outstanding official debt that foreign private investors lend responsibly – may be optimal. Finally, substantial debt forgiveness is prudent if the risk of financial distress really is a serious problem – an unlikely eventuality. But there must be an assurance that the country does not borrow up again from private creditors and